ONLINE EXAMINATIONS APRIL – MAY 2024 IMPORTANT

You must read this before you start your exam

Academic Integrity

We are treating this online examination as a time-limited open assessment. This means that:

- You are permitted to refer to published materials to aid you in your answers.
- Published sources must be referenced, including online sources (unless your Department tells you otherwise).
- Over-reliance on published sources is considered to be poor academic practice.

Apart from appropriate referencing, you must ensure that:

- the work you submit is entirely your own;
- you do not communicate with other students on the topic of this assessment for the whole time the assessment is live;
- you do not obtain advice or contribution from any third party, including proof-readers, friends, or family members.

For advice on academic integrity, you can see the University Library's Academic Integrity Toolkit.

You should note that:

1. Failure to adhere to these requirements will be considered a breach of the Academic Misconduct regulations (available here), where the offences of cheating, plagiarism, collusion, copying, and commissioning are particularly relevant.
2. Your exam answers may be run through Turnitin, and the usual similarity reports will be available to markers.

Please read and note this statement of originality:
By submitting this work, I certify that:

1. **it is my own unaided work;**
2. **the use of material from other sources has been properly and fully acknowledged in the text;**
3. **neither this piece of work nor any part of it has been submitted in connection with another assessment;**
4. **I have read the University's definition of plagiarism, guidance on good academic practice and the guidelines set out above; and**
5. **I will comply with the requirements these place on me.**

I acknowledge the University may use appropriate software to detect similarities with other third-party material, in order to ensure the integrity of the assessment.
I understand that if I do not comply with these requirements the University will take action against me, which if proven and following the proper process may result in failure of the year or part and/or my removal from membership of the University.

Please read through this exam paper thoroughly before you start the exam

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May/June 2024 **IC101 2023/4 MA 600**

UNIVERSITY OF READING MALAYSIA

INTRODUCTORY SECURITIES AND MARKETS (IC101)

Two hours

Answer **all three questions** in Section A **and** complete the multiple choice test in Section B

Allocate the two-hours examination period between the two Sections of the Examination as you choose

The answer to this question should not exceed 1,500 words in total (approximately). Each section contains equal marks.

SECTION A

(Answer all three questions. Answer each question with a new paragraph)

1. Describe the law of one price and how it relates to arbitrage opportunity.

2. Define liquidity. Discuss the importance of it to banks and households.

3. Define ‘transaction intermediary’. Provide an example of a transaction intermediary and discuss how it meets the needs of its clients.

(60 marks)

SECTION B

The Multiple Choice questions in section B will be set up as a Blackboard MCQ test, accessible only on the examination date.